

Customer Retention: Executive Summary

Customer Engagement & Product Utilization Analytics for Retention Strategy | Prepared for policy and executive stakeholders | Based on 10,000 customer records

Customer engagement — not account balance or salary — is the strongest, most consistent predictor of whether a customer leaves the bank.

THE NUMBERS THAT MATTER

9.7% vs 27.1% Churn rate: engaged vs. disengaged customers — nearly 3x higher risk when engagement is lost	24.3% of deposits Held by the 12.5% of customers who are disengaged — \$185.6M concentrated in a flight-risk group	82–100% churn Among customers holding 3–4 products — more products does not automatically mean more loyalty
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WHAT THIS MEANS

The bank's biggest retention risk is not poor or low-value customers — it is wealthy, disengaged ones. A customer who stops using the bank actively is far more likely to leave than one who simply holds a lower balance. At the same time, encouraging customers to hold more products is not a reliable loyalty strategy on its own: customers with two products are the most loyal group in the bank, but customers pushed to three or four products leave at extremely high rates. Retention efforts built around balance, salary, or product count alone will miss the customers most likely to leave — and misdirect resources toward customers who were never at risk.

RECOMMENDED ACTIONS

- **Redirect retention spend toward re-engagement, not just cross-selling.** Reactivating disengaged customers will reduce churn more than offering them additional products.
- **Create a dedicated outreach program for high-value disengaged customers.** Roughly 1,250 customers hold nearly a quarter of all deposits while disengaged — protecting this group should be a top priority, not a routine campaign.
- **Pause further product-bundling expansion beyond two products until the cause of the 3–4 product churn spike is understood.** Investigate whether this reflects aggressive sales practices, poor servicing, or customers already planning to leave.

Full methodology, statistical testing, and supporting charts are available in the accompanying research paper.